



General Assembly

February Session, 2026

Raised Bill No. 515

LCO No. 3381



Referred to Committee on FINANCE, REVENUE AND BONDING

Introduced by:
(FIN)

AN ACT CONCERNING THE CONNECTICUT WORKFORCE AND A PRODUCTIVITY GAP SURCHARGE.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

- 1 Section 1. (*Effective from passage*) (a) As used in this section:
- 2 (1) "Augmented productivity" means the portion of gross revenue
3 that exceeds an employer's three-year historical average, provided such
4 increase is achieved through the integration of collaborative technology
5 while maintaining a stable workforce;
- 6 (2) "Collaborative technology" means any hardware, software or
7 algorithmic system, including artificial intelligence, designed to be
8 operated by or to assist an employee in the performance of such
9 employee's duties, where the technology serves as a multiplier of the
10 employee's individual productivity rather than as a stand-alone
11 replacement of the employee;
- 12 (3) "Productivity gap" means the measurable increase in revenue-per-
13 employee hours that occurs when Connecticut payroll is reduced

14 materially while gross revenue remains stable or increases; and

15 (4) "Stable workforce" means a Connecticut-domiciled workforce
16 where the total headcount and aggregate payroll expenses for such
17 workforce remain at or above ninety-five per cent of the three-year
18 historical average of the employer.

19 (b) (1) Not later than January 1, 2027, the Secretary of the Office of
20 Policy and Management shall, in consultation with the Commissioner
21 of Revenue Services, the Labor Commissioner and the Chief Workforce
22 Officer, submit an implementation plan to the General Assembly, in
23 accordance with the provisions of section 11-4a of the general statutes,
24 to ensure that technological advancements serve to augment worker
25 capability rather than render it obsolete and productivity gains lead to
26 a more skilled workforce, by establishing (A) a mechanism to reinvest
27 capital when business output and labor costs become materially
28 decoupled, (B) steps to be actively taken by the state to minimize such
29 decoupling by fostering collaborative productivity models that increase
30 output without a corresponding decline in the workforce, and (C) a
31 workforce and productivity gap contribution from employers.

32 (2) The workforce and productivity gap contribution plan shall
33 include:

34 (A) A formula for a surcharge to be assessed annually for each income
35 or taxable year in which an employer maintains a productivity gap.
36 Such surcharge shall reflect the financial delta between an employer's
37 baseline productivity levels and its reduced payroll expenses for the
38 applicable income or taxable year, and shall be structured to ensure that
39 efficiency gains realized through the displacement of employees are
40 recaptured by the state on an ongoing basis to mitigate the resulting
41 economic impact;

42 (B) An augmented productivity tax exemption that ensures that any
43 augmented productivity achieved by an employer is permanently
44 exempt from taxation by the state;

45 (C) Administrative procedures for the reporting and collection of
46 such surcharge, based on Connecticut-specific payroll and tax data; and

47 (D) The establishment of a workforce and economic stability account,
48 in which the surcharges collected shall be deposited and shall be used
49 exclusively for the purposes of workforce retraining, technical
50 education and career transition programs for displaced employees.

51 (c) If the General Assembly does not enact, prior to July 1, 2027, the
52 implementation plan submitted pursuant to subsection (b) of this
53 section, notwithstanding the provisions of sections 4-168 to 4-172,
54 inclusive, of the general statutes, the Secretary of the Office of Policy and
55 Management shall issue policies and procedures to implement the
56 provisions of such plan. The secretary shall post such policies and
57 procedures on said office's Internet web site and submit such policies
58 and procedures to the Secretary of the State for posting on the
59 eRegulations System, at least fifteen days prior to the effective date of
60 such policies and procedures. Any such policies and procedures shall
61 no longer be effective upon the adoption of such policy or procedure as
62 a final regulation in accordance with the provisions of chapter 54 of the
63 general statutes.

This act shall take effect as follows and shall amend the following sections:		
Section 1	from passage	New section

Section 1	from passage	New section
-----------	--------------	-------------

Statement of Purpose:

To require the Secretary of the Office of Policy and Management to (1) submit an implementation plan that includes a workforce and productivity gap surcharge on employers to recapture lost revenue from displaced employees while providing a permanent tax exemption for increased productivity achieved through the augmentation of a stable workforce using collaborative technology, and (2) adopt policies and procedures to implement such plan if the General Assembly fails to enact such plan by July 1, 2027.

[Proposed deletions are enclosed in brackets. Proposed additions are indicated by underline, except that when the entire text of a bill or resolution or a section of a bill or resolution is new, it is not underlined.]